APPRAISAL REPORT

Ashford Data Center | Grand Rapids, MI

Subject Property	Ashford Data Center
Address	7471 Heritage Street, Grand Rapids, MI 60188
Property Rights Appraised	Fee Simple
Effective Date of Value	April 22, 2024
Market Value Conclusion	$264,750,000

Demographics and Employment

Median household income within a 1-mile radius of the property is approximately $165,000 and has grown 4.6% annually. Employment growth is led by healthcare, logistics, education and professional services sectors. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Investor demand for Data Center assets in Grand Rapids remains strong with recent trades at capitalization rates between 7.81% and 7.81%.

The Grand Rapids Data Center market has experienced absorption of 2000 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Market vacancy for comparable Data Center product stands at 13.1%, down from 3.3% two years ago. Investor demand for Data Center assets in Grand Rapids remains strong with recent trades at capitalization rates between 6.76% and 6.76%. Rent growth in the submarket has averaged 3.7% annually over the past 3 years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Median household income within a 2-mile radius of the property is approximately $279,000 and has grown 9.2% annually.

Access and Utilities

The site contains approximately 37.37 acres and is generally level with frontage along Heritage Street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Access to the site is provided by 21 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

The site contains approximately 26.26 acres and is generally level with frontage along Heritage Street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Supply and Demand

The Grand Rapids Data Center market has experienced absorption of 4700 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Median household income within a 5-mile radius of the property is approximately $109,000 and has grown 10.7% annually. Carrier-neutral meet-me room supports multiple fiber providers. Employment growth is led by healthcare, logistics, education and professional services sectors. The facility is a purpose-built data center with 38 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

Median household income within a 1-mile radius of the property is approximately $410,000 and has grown 4.4% annually. Carrier-neutral meet-me room supports multiple fiber providers. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Rent growth in the submarket has averaged 5.9% annually over the past 10 years.

Site Description

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 28 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

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Submarket Analysis

Rent growth in the submarket has averaged 7.6% annually over the past 6 years. Ashford Data Center is located in Grand Rapids, MI, a market that has recorded 8.7% population growth over the last five years. Market vacancy for comparable Data Center product stands at 9.1%, down from 3.3% two years ago. The Grand Rapids Data Center market has experienced absorption of 2600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Ashford Data Center is located in Grand Rapids, MI, a market that has recorded 10.5% population growth over the last five years. Median household income within a 5-mile radius of the property is approximately $174,000 and has grown 6.0% annually. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Investor demand for Data Center assets in Grand Rapids remains strong with recent trades at capitalization rates between 7.47% and 7.47%. Market vacancy for comparable Data Center product stands at 9.5%, down from 5.6% two years ago. Rent growth in the submarket has averaged 7.6% annually over the past 10 years.

Topography and Flood Zone

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 27.27 acres and is generally level with frontage along Heritage Street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Access to the site is provided by 26 curb cuts and the property is served by municipal water and sanitary sewer.

The site contains approximately 14.14 acres and is generally level with frontage along Heritage Street. Access to the site is provided by 28 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Market Overview

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Investor demand for Data Center assets in Grand Rapids remains strong with recent trades at capitalization rates between 6.84% and 6.84%. The Grand Rapids Data Center market has experienced absorption of 3100 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Market vacancy for comparable Data Center product stands at 5.7%, down from 4.6% two years ago. Carrier-neutral meet-me room supports multiple fiber providers.

On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Employment growth is led by healthcare, logistics, education and professional services sectors. Median household income within a 8-mile radius of the property is approximately $39,000 and has grown 2.6% annually. Rent growth in the submarket has averaged 4.9% annually over the past 7 years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Topography and Flood Zone

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Access to the site is provided by 35 curb cuts and the property is served by municipal water and sanitary sewer. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Access to the site is provided by 22 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 23.23 acres and is generally level with frontage along Heritage Street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Demographics and Employment

Ashford Data Center is located in Grand Rapids, MI, a market that has recorded 7.9% population growth over the last five years. The Grand Rapids Data Center market has experienced absorption of 2400 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Rent growth in the submarket has averaged 6.8% annually over the past 11 years.

Median household income within a 8-mile radius of the property is approximately $381,000 and has grown 2.2% annually. Ashford Data Center is located in Grand Rapids, MI, a market that has recorded 2.8% population growth over the last five years. Investor demand for Data Center assets in Grand Rapids remains strong with recent trades at capitalization rates between 7.25% and 7.25%. Carrier-neutral meet-me room supports multiple fiber providers. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

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Building Systems

Common area interiors have been refreshed within the last 8 years and are in average to good condition. Ashford Data Center was originally constructed in 2021 and consists of 352,988 SF in a building of 14 stories. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Carrier-neutral meet-me room supports multiple fiber providers. Mechanical systems include rooftop package units and central plant equipment of varying age.

Ashford Data Center was originally constructed in 2021 and consists of 352,988 SF in a building of 12 stories. Carrier-neutral meet-me room supports multiple fiber providers. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Mechanical systems include rooftop package units and central plant equipment of varying age. The roof is a 40-year membrane system with an estimated remaining useful life of 8 years.

Improvements Description

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Mechanical systems include rooftop package units and central plant equipment of varying age. Ashford Data Center was originally constructed in 2021 and consists of 352,988 SF in a building of 34 stories. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The roof is a 4-year membrane system with an estimated remaining useful life of 5 years.

Common area interiors have been refreshed within the last 8 years and are in average to good condition. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Mechanical systems include rooftop package units and central plant equipment of varying age. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Improvements Description

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Ashford Data Center was originally constructed in 2021 and consists of 352,988 SF in a building of 9 stories. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Carrier-neutral meet-me room supports multiple fiber providers. The roof is a 16-year membrane system with an estimated remaining useful life of 5 years.

Carrier-neutral meet-me room supports multiple fiber providers. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Common area interiors have been refreshed within the last 3 years and are in average to good condition.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Foxglove Data Campus	Sacramento, CA	06/20/2022	19	$113,862,025	$323	5.19%	2014
Maple Data Campus	Boise, ID	11/06/2025	33	$280,298,580	$794	5.72%	2021
Birchwood Data Center	Boston, MA	05/16/2022	25	$316,055,213	$895	8.15%	1965
Crestline Data Campus	San Diego, CA	08/20/2025	31	$176,575,401	$500	6.03%	1983
Saddlebrook Data Campus	Allentown, PA	12/08/2025	18	$331,274,967	$938	6.49%	1980
Bluestone Data Center	Jacksonville, FL	07/23/2023	25	$303,587,317	$860	5.42%	2015
Garnet Technology Campus	Cleveland, OH	07/05/2025	16	$106,705,954	$302	7.12%	2001
Hawthorne Data Center	Buffalo, NY	10/17/2025	37	$144,116,000	$408	8.01%	1972
Redwood Data Campus	Allentown, PA	07/21/2022	30	$200,321,479	$568	7.68%	1984
Everett Data Campus	Oklahoma City, OK	10/23/2022	30	$290,824,473	$824	5.56%	1973
Granite Technology Campus	Cleveland, OH	10/10/2023	23	$355,462,443	$1,007	6.69%	2001
Willow Technology Campus	Omaha, NE	11/21/2023	27	$322,115,629	$913	5.04%	2020
Kingsley Data Center	Tampa, FL	05/16/2025	34	$167,339,120	$474	7.48%	1979
Granite Data Center	Madison, WI	12/25/2022	27	$199,086,495	$564	5.97%	1991
Ironwood Data Campus	Dallas, TX	03/07/2025	33	$364,446,261	$1,032	5.69%	2017
Thornton Technology Campus	Portland, OR	12/30/2025	24	$228,281,315	$647	6.73%	1994
Falcon Technology Campus	Aurora, CO	04/13/2025	19	$141,941,563	$402	5.38%	1976
Aspen Data Campus	Norfolk, VA	02/25/2022	15	$312,710,561	$886	5.49%	2018
Summit Data Center	Memphis, TN	11/15/2022	34	$325,310,566	$922	5.62%	1997
Elmhurst Technology Campus	Columbus, OH	06/09/2022	31	$147,830,564	$419	7.21%	1991
Foxglove Data Center	Nashville, TN	12/18/2023	20	$156,588,627	$444	5.07%	2008
Foxglove Data Center	Buffalo, NY	11/10/2025	41	$286,489,455	$812	6.83%	1983
Amberly Data Center	San Antonio, TX	02/11/2026	32	$244,935,734	$694	6.00%	2017
Saddlebrook Data Campus	Nashville, TN	08/01/2026	25	$325,041,378	$921	5.34%	1965
Kingsley Technology Campus	Denver, CO	06/17/2022	31	$139,369,728	$395	8.11%	1989
Yarrow Data Center	Nashville, TN	08/07/2025	40	$154,317,716	$437	5.86%	2000
Quarry Data Campus	Denver, CO	06/14/2026	38	$169,416,931	$480	5.16%	1997
Pelican Data Center	Aurora, CO	07/07/2024	43	$304,544,530	$863	7.37%	2001
Kingsley Data Campus	Buffalo, NY	09/23/2023	16	$266,951,894	$756	5.99%	2008
Upland Data Center	Milwaukee, WI	10/22/2022	20	$174,968,497	$496	7.58%	1975
Yarrow Data Campus	Louisville, KY	05/03/2025	39	$112,136,301	$318	5.90%	1990
Marlow Data Center	Buffalo, NY	05/27/2023	20	$160,735,601	$455	5.23%	1994
Union Technology Campus	Detroit, MI	02/12/2026	22	$119,050,898	$337	5.78%	2016
Maple Data Center	San Antonio, TX	02/14/2024	28	$323,959,660	$918	6.90%	1992
Orchard Data Campus	Aurora, CO	04/06/2026	25	$170,656,590	$483	5.21%	1983
Fairmont Technology Campus	Indianapolis, IN	10/26/2025	21	$115,262,901	$327	5.73%	2020
Hawthorne Data Campus	San Antonio, TX	07/20/2023	42	$288,764,209	$818	5.48%	2017
Meridian Data Center	Atlanta, GA	01/12/2022	15	$363,259,167	$1,029	6.24%	1968
Ashford Technology Campus	Sacramento, CA	06/14/2023	31	$312,667,885	$886	7.96%	1993
Banyan Technology Campus	Atlanta, GA	02/26/2022	36	$207,975,289	$589	6.98%	1972

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Operating Performance

Effective gross income for the trailing period was $17,000, representing a 7.3% increase over the prior year. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 6.6% over the hold period. Management fees are calculated at 3.7% of collected revenue and are included in operating expenses.

On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Effective gross income for the trailing period was $77,000, representing a 11.8% increase over the prior year. The going-in capitalization rate of 6.11% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $172,000 or approximately 23.93 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 4.1% over the hold period. Management fees are calculated at 3.0% of collected revenue and are included in operating expenses.

Financial Analysis

Debt service coverage ratio was 7.37x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 5.7% of collected revenue and are included in operating expenses. Carrier-neutral meet-me room supports multiple fiber providers. Operating expenses totaled $129,000 or approximately 45.69 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.39% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $354,000, representing a 3.8% increase over the prior year.

On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Effective gross income for the trailing period was $77,000, representing a 6.1% increase over the prior year. Management fees are calculated at 4.7% of collected revenue and are included in operating expenses. Carrier-neutral meet-me room supports multiple fiber providers. Operating expenses totaled $328,000 or approximately 17.76 per square foot, with real estate taxes representing the largest line item.

Operating Performance

On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Net operating income is projected to grow at a compound annual rate of 7.4% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The facility is a purpose-built data center with 6 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Carrier-neutral meet-me room supports multiple fiber providers.

Net operating income is projected to grow at a compound annual rate of 3.0% over the hold period. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Management fees are calculated at 5.8% of collected revenue and are included in operating expenses. Carrier-neutral meet-me room supports multiple fiber providers.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Falcon Technology Campus	4.6 mi	1979	Unit	$235.35	93.2%	None
Wexford Data Center	4.1 mi	1976	2BR	$196.80	90.5%	1 mo. free
Quincy Technology Campus	1.2 mi	2015	2BR	$184.43	93.0%	None
Aspen Technology Campus	0.8 mi	1974	2BR	$239.56	90.9%	1 mo. free
Birchwood Data Campus	3.4 mi	1975	Suite	$207.83	93.0%	1 mo. free
Granite Data Center	3.5 mi	1991	2BR	$237.90	93.7%	None
Meridian Technology Campus	0.9 mi	2015	Suite	$221.86	87.2%	1 mo. free
Palisade Data Center	3.1 mi	2012	Bay	$234.92	90.3%	None
Bayview Data Campus	2.4 mi	2015	1BR	$226.13	88.2%	1 mo. free
Mesa Data Center	4.7 mi	2000	2BR	$231.16	96.3%	None
Riverbend Technology Campus	3.2 mi	1974	2BR	$198.48	88.6%	None
Laurel Data Campus	2.0 mi	1988	Studio	$221.23	96.3%	1 mo. free
Indigo Data Center	0.6 mi	1978	Inline	$252.90	88.6%	1 mo. free
Marlow Data Center	0.7 mi	1989	1BR	$235.80	91.9%	None
Dover Technology Campus	4.7 mi	2018	Inline	$188.40	86.8%	None
Timberline Technology Campus	0.3 mi	2006	Bay	$195.74	95.4%	1 mo. free
Cobalt Data Center	0.5 mi	1983	Bay	$230.64	87.7%	None
Maple Technology Campus	4.4 mi	1999	Studio	$192.44	91.9%	None
Newport Data Center	1.7 mi	2007	1BR	$223.69	92.4%	None
Maple Technology Campus	2.8 mi	1977	2BR	$183.07	88.1%	None
Keystone Data Campus	4.5 mi	2000	1BR	$185.49	95.2%	1 mo. free
Mesa Data Campus	4.7 mi	1973	Bay	$252.01	93.1%	1 mo. free
Indigo Data Center	3.2 mi	1980	Studio	$248.17	94.4%	1 mo. free
Prairie Data Center	1.1 mi	1973	Inline	$250.74	92.9%	None
Hawthorne Data Center	2.7 mi	2018	Suite	$182.91	87.5%	1 mo. free
Amberly Technology Campus	1.1 mi	2005	Bay	$229.86	94.1%	None
Pelican Data Campus	3.5 mi	2006	1BR	$191.73	94.2%	1 mo. free
Falcon Technology Campus	3.8 mi	2012	Unit	$208.71	91.6%	$500
Ridgeline Technology Campus	4.4 mi	2018	Inline	$252.58	95.3%	$500
Heritage Technology Campus	2.9 mi	1990	Unit	$216.78	92.9%	$500
Crestline Data Center	0.5 mi	2017	2BR	$221.86	97.1%	1 mo. free
Willow Technology Campus	3.2 mi	2005	1BR	$235.47	96.1%	1 mo. free
Ivy Data Center	1.0 mi	1982	2BR	$186.75	92.4%	None
Brookside Technology Campus	2.3 mi	2018	1BR	$219.89	88.8%	None
Newport Data Center	4.6 mi	1992	Suite	$214.49	92.9%	$500
Garnet Technology Campus	2.9 mi	2002	Inline	$192.35	87.7%	1 mo. free
Eastlake Technology Campus	0.4 mi	1979	1BR	$244.42	88.6%	$500
Ashford Data Center	2.9 mi	2006	1BR	$255.73	95.6%	None
Vista Data Center	3.7 mi	1996	Studio	$216.06	96.5%	None
Dover Data Center	4.6 mi	2003	Bay	$182.18	91.8%	$500
Dover Technology Campus	4.3 mi	1982	1BR	$198.67	91.4%	1 mo. free
Keystone Data Center	1.7 mi	1970	2BR	$238.11	87.9%	None
Everett Technology Campus	3.0 mi	1971	2BR	$220.77	90.5%	None

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Submarket Analysis

Ashford Data Center is located in Grand Rapids, MI, a market that has recorded 3.2% population growth over the last five years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Investor demand for Data Center assets in Grand Rapids remains strong with recent trades at capitalization rates between 6.48% and 6.48%. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

The Grand Rapids Data Center market has experienced absorption of 3300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Investor demand for Data Center assets in Grand Rapids remains strong with recent trades at capitalization rates between 6.33% and 6.33%. The facility is a purpose-built data center with 47 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Rent growth in the submarket has averaged 5.9% annually over the past 11 years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Employment growth is led by healthcare, logistics, education and professional services sectors.

Access and Utilities

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 8.8 acres and is generally level with frontage along Heritage Street. Access to the site is provided by 3 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Access to the site is provided by 24 curb cuts and the property is served by municipal water and sanitary sewer. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 6.6 acres and is generally level with frontage along Heritage Street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Supply and Demand

Investor demand for Data Center assets in Grand Rapids remains strong with recent trades at capitalization rates between 8.00% and 8.00%. The facility is a purpose-built data center with 18 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Rent growth in the submarket has averaged 7.8% annually over the past 8 years. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Market vacancy for comparable Data Center product stands at 3.1%, down from 7.6% two years ago.

Investor demand for Data Center assets in Grand Rapids remains strong with recent trades at capitalization rates between 6.59% and 6.59%. Market vacancy for comparable Data Center product stands at 5.3%, down from 5.1% two years ago. Carrier-neutral meet-me room supports multiple fiber providers. Employment growth is led by healthcare, logistics, education and professional services sectors.

Access and Utilities

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Access to the site is provided by 9 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site contains approximately 36.36 acres and is generally level with frontage along Heritage Street.

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Submarket Analysis

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Building Systems

Carrier-neutral meet-me room supports multiple fiber providers. The facility is a purpose-built data center with 17 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Ashford Data Center was originally constructed in 2021 and consists of 352,988 SF in a building of 42 stories.

Carrier-neutral meet-me room supports multiple fiber providers. The roof is a 12-year membrane system with an estimated remaining useful life of 8 years. Mechanical systems include rooftop package units and central plant equipment of varying age. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The facility is a purpose-built data center with 44 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Construction Details

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Ashford Data Center was originally constructed in 2021 and consists of 352,988 SF in a building of 43 stories. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The roof is a 2-year membrane system with an estimated remaining useful life of 7 years. Common area interiors have been refreshed within the last 4 years and are in average to good condition.

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Common area interiors have been refreshed within the last 3 years and are in average to good condition. The facility is a purpose-built data center with 29 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Construction Details

Mechanical systems include rooftop package units and central plant equipment of varying age. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Common area interiors have been refreshed within the last 5 years and are in average to good condition. The roof is a 12-year membrane system with an estimated remaining useful life of 10 years. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The roof is a 12-year membrane system with an estimated remaining useful life of 4 years. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. The facility is a purpose-built data center with 12 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Willow Data Center	Jacksonville, FL	11/02/2022	17	$311,153,400	$881	5.38%	1975
Quincy Data Campus	New Orleans, LA	06/26/2022	24	$268,924,132	$762	6.66%	1983
Vista Data Center	Seattle, WA	05/23/2024	35	$204,563,496	$580	8.02%	2009
Upland Technology Campus	Kansas City, MO	08/28/2022	28	$191,091,349	$541	8.16%	1993
Hollis Data Campus	Louisville, KY	06/26/2022	42	$255,654,108	$724	8.03%	1976
Banyan Technology Campus	Raleigh, NC	07/20/2023	26	$150,930,564	$428	5.17%	1977
Calloway Data Campus	San Diego, CA	09/26/2023	39	$138,553,345	$393	6.49%	2013
Highland Technology Campus	Detroit, MI	09/25/2023	41	$171,532,653	$486	5.17%	1988
Stonebridge Data Campus	Greenville, SC	01/11/2024	26	$140,161,969	$397	5.27%	2014
Cedar Technology Campus	Nashville, TN	04/28/2026	35	$212,109,378	$601	6.69%	1990
Wexford Technology Campus	Chicago, IL	05/13/2026	43	$294,269,817	$834	7.17%	1976
Magnolia Data Campus	Pittsburgh, PA	11/18/2022	29	$232,228,262	$658	5.24%	2004
Newport Technology Campus	St. Louis, MO	11/29/2022	37	$350,772,090	$994	5.42%	1980
Lantern Data Center	Chicago, IL	01/05/2022	26	$322,509,486	$914	6.66%	1999
Foxglove Data Campus	Greenville, SC	09/19/2024	40	$328,848,546	$932	7.34%	1985
Birchwood Data Center	Indianapolis, IN	09/28/2025	33	$241,646,050	$685	6.89%	2005
Union Data Campus	Philadelphia, PA	09/23/2024	28	$227,976,280	$646	6.89%	2000
Indigo Data Campus	Boston, MA	10/15/2025	23	$173,157,757	$491	6.80%	1976
Dover Technology Campus	Baltimore, MD	05/11/2022	26	$113,791,177	$322	5.33%	1998
Canyon Data Campus	Portland, OR	06/05/2026	34	$141,986,684	$402	7.43%	2010
Keystone Data Campus	Riverside, CA	08/03/2023	41	$341,885,460	$969	5.19%	1999
Harbor Technology Campus	Dallas, TX	04/22/2026	18	$327,553,326	$928	7.61%	2021
Calloway Data Campus	Greenville, SC	01/31/2023	18	$320,535,747	$908	8.19%	1980
Northgate Technology Campu	Cincinnati, OH	12/02/2023	35	$182,911,627	$518	6.77%	1980
Highland Data Campus	Riverside, CA	05/11/2022	30	$141,336,006	$400	6.42%	1979
Dunmore Technology Campus	Phoenix, AZ	06/18/2024	35	$269,659,446	$764	6.13%	1982
Valley Technology Campus	Naperville, IL	08/22/2026	31	$147,598,457	$418	6.97%	2012
Oakmont Technology Campus	San Diego, CA	11/27/2025	31	$322,683,372	$914	7.85%	1995
Valley Data Center	Cincinnati, OH	05/17/2023	33	$244,042,151	$691	5.46%	2000
Palisade Data Center	Jacksonville, FL	11/14/2023	35	$323,701,727	$917	5.28%	2017
Glenview Data Center	Boston, MA	03/04/2026	20	$171,705,847	$486	7.24%	1997
Sterling Technology Campus	Nashville, TN	03/05/2026	19	$249,566,186	$707	6.44%	2000
Cobalt Data Center	Buffalo, NY	01/08/2024	17	$228,667,260	$648	6.68%	2001
Canyon Technology Campus	Detroit, MI	09/01/2024	29	$170,579,931	$483	6.28%	1987
Quarry Technology Campus	Columbus, OH	02/21/2026	21	$253,728,493	$719	8.05%	2000
Fairmont Data Campus	Raleigh, NC	08/03/2026	38	$354,284,222	$1,004	7.61%	1983
Tidewater Data Center	Buffalo, NY	06/03/2022	23	$313,767,742	$889	5.88%	2009
Newport Data Campus	Philadelphia, PA	08/25/2023	30	$267,446,011	$758	7.88%	1985
Pelican Technology Campus	Riverside, CA	02/27/2024	15	$356,000,929	$1,009	7.68%	1969
Lockwood Data Center	New Orleans, LA	10/12/2023	18	$173,022,293	$490	5.71%	1997
Ironwood Data Center	Austin, TX	06/11/2022	40	$243,173,868	$689	6.06%	2016

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Income and Expense Review

On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Operating expenses totaled $18,000 or approximately 46.53 per square foot, with real estate taxes representing the largest line item. The facility is a purpose-built data center with 21 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. The going-in capitalization rate of 6.80% reflects the in-place income and the stabilized occupancy assumption. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Debt service coverage ratio was 6.93x on a trailing basis against a covenant minimum of 1.20x. The facility is a purpose-built data center with 45 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 3.3% of collected revenue and are included in operating expenses.

Financial Analysis

Effective gross income for the trailing period was $474,000, representing a 2.3% increase over the prior year. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Management fees are calculated at 6.7% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 6.9% over the hold period. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Carrier-neutral meet-me room supports multiple fiber providers.

Net operating income is projected to grow at a compound annual rate of 4.8% over the hold period. Management fees are calculated at 4.5% of collected revenue and are included in operating expenses. The going-in capitalization rate of 5.30% reflects the in-place income and the stabilized occupancy assumption. Carrier-neutral meet-me room supports multiple fiber providers. The facility is a purpose-built data center with 6 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

Operating Performance

Operating expenses totaled $323,000 or approximately 11.25 per square foot, with real estate taxes representing the largest line item. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Management fees are calculated at 6.9% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The facility is a purpose-built data center with 46 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Net operating income is projected to grow at a compound annual rate of 7.4% over the hold period. Carrier-neutral meet-me room supports multiple fiber providers. Operating expenses totaled $42,000 or approximately 43.57 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 6.28% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Timberline Data Center	3.2 mi	1991	Suite	$198.81	91.1%	1 mo. free
Alder Technology Campus	1.1 mi	1980	Studio	$197.68	96.6%	1 mo. free
Ivy Data Center	0.9 mi	2004	Bay	$189.88	88.2%	$500
Verde Technology Campus	1.1 mi	2004	Unit	$227.97	86.8%	1 mo. free
Northgate Data Campus	3.6 mi	1981	Bay	$201.33	92.4%	$500
Granite Data Center	4.4 mi	2002	Unit	$220.40	87.5%	None
Ivy Data Center	0.6 mi	2022	Inline	$229.49	93.1%	$500
Raven Technology Campus	3.8 mi	1977	2BR	$212.82	95.6%	None
Raven Technology Campus	0.7 mi	1998	Bay	$249.61	87.1%	$500
Harbor Data Campus	2.9 mi	2013	2BR	$256.43	90.1%	1 mo. free
Laurel Technology Campus	3.0 mi	2018	1BR	$194.18	93.2%	None
Zephyr Data Campus	4.5 mi	1985	Studio	$255.40	89.0%	None
Birchwood Technology Campus	4.7 mi	2019	Suite	$231.81	94.3%	None
Quincy Technology Campus	0.9 mi	2007	Inline	$209.37	86.5%	$500
Prairie Data Campus	5.0 mi	2005	Suite	$213.01	91.3%	None
Cypress Technology Campus	3.9 mi	2002	Unit	$218.26	86.5%	None
Hollis Data Center	2.1 mi	1973	Bay	$218.26	88.8%	$500
Calloway Technology Campus	0.2 mi	2014	Suite	$246.33	91.5%	1 mo. free
Jasper Data Campus	4.4 mi	2011	2BR	$200.25	86.6%	None
Quincy Data Campus	4.3 mi	2002	Suite	$250.84	88.7%	None
Alder Technology Campus	1.8 mi	1990	Bay	$245.78	92.1%	$500
Quincy Technology Campus	2.8 mi	2013	Studio	$233.27	95.9%	1 mo. free
Garnet Technology Campus	1.5 mi	1987	Suite	$256.56	95.2%	None
Copper Technology Campus	3.9 mi	2019	Studio	$209.38	92.2%	1 mo. free
Lockwood Data Center	4.4 mi	1974	Studio	$205.94	95.8%	None
Stonebridge Data Campus	0.6 mi	1992	Unit	$198.76	89.0%	$500
Birchwood Technology Campus	1.3 mi	1978	Inline	$198.68	87.7%	None
Zephyr Technology Campus	2.4 mi	1989	Studio	$228.12	95.4%	None
Copper Technology Campus	1.8 mi	1985	2BR	$247.81	95.4%	1 mo. free
Bluestone Data Center	1.5 mi	2020	1BR	$234.30	91.2%	1 mo. free
Aspen Data Campus	2.2 mi	2000	1BR	$187.39	88.0%	None
Pelican Technology Campus	1.9 mi	1983	2BR	$197.36	91.1%	$500
Quarry Data Center	2.3 mi	2015	Bay	$226.72	96.1%	1 mo. free
Glenview Technology Campus	4.7 mi	2004	Suite	$232.22	93.7%	1 mo. free
Fairmont Technology Campus	4.8 mi	1970	Suite	$227.96	94.4%	1 mo. free
Ivy Data Center	0.4 mi	2018	Unit	$224.69	92.4%	$500
Bayview Data Center	1.8 mi	2003	Inline	$225.02	90.7%	None
Redwood Data Campus	3.5 mi	1977	2BR	$195.16	86.5%	1 mo. free
Canyon Technology Campus	4.2 mi	2000	Suite	$200.09	89.9%	$500
Onyx Technology Campus	0.8 mi	2022	Bay	$213.88	87.8%	1 mo. free

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Supply and Demand

The Grand Rapids Data Center market has experienced absorption of 4200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Employment growth is led by healthcare, logistics, education and professional services sectors. Investor demand for Data Center assets in Grand Rapids remains strong with recent trades at capitalization rates between 7.55% and 7.55%. Ashford Data Center is located in Grand Rapids, MI, a market that has recorded 9.6% population growth over the last five years. The facility is a purpose-built data center with 8 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

Carrier-neutral meet-me room supports multiple fiber providers. The facility is a purpose-built data center with 44 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Employment growth is led by healthcare, logistics, education and professional services sectors. Market vacancy for comparable Data Center product stands at 3.7%, down from 3.1% two years ago. The Grand Rapids Data Center market has experienced absorption of 1800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Rent growth in the submarket has averaged 3.7% annually over the past 9 years.

Access and Utilities

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 3 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 25.25 acres and is generally level with frontage along Heritage Street.

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 44 curb cuts and the property is served by municipal water and sanitary sewer. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

Demographics and Employment

Market vacancy for comparable Data Center product stands at 3.8%, down from 7.3% two years ago. Employment growth is led by healthcare, logistics, education and professional services sectors. The facility is a purpose-built data center with 30 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Ashford Data Center is located in Grand Rapids, MI, a market that has recorded 9.3% population growth over the last five years. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

Employment growth is led by healthcare, logistics, education and professional services sectors. Median household income within a 7-mile radius of the property is approximately $83,000 and has grown 2.6% annually. Ashford Data Center is located in Grand Rapids, MI, a market that has recorded 2.7% population growth over the last five years. Market vacancy for comparable Data Center product stands at 5.7%, down from 4.6% two years ago.

Access and Utilities

The site contains approximately 47.47 acres and is generally level with frontage along Heritage Street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 20 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 47 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 13.13 acres and is generally level with frontage along Heritage Street. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Demographics and Employment

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Construction Details

Mechanical systems include rooftop package units and central plant equipment of varying age. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The facility is a purpose-built data center with 48 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Ashford Data Center was originally constructed in 2021 and consists of 352,988 SF in a building of 44 stories.

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The facility is a purpose-built data center with 25 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Common area interiors have been refreshed within the last 5 years and are in average to good condition. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The roof is a 48-year membrane system with an estimated remaining useful life of 5 years.

Building Systems

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Mechanical systems include rooftop package units and central plant equipment of varying age. The facility is a purpose-built data center with 43 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The roof is a 5-year membrane system with an estimated remaining useful life of 10 years. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Common area interiors have been refreshed within the last 8 years and are in average to good condition.

Improvements Description

Ashford Data Center was originally constructed in 2021 and consists of 352,988 SF in a building of 20 stories. Common area interiors have been refreshed within the last 12 years and are in average to good condition. The facility is a purpose-built data center with 48 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Carrier-neutral meet-me room supports multiple fiber providers. The roof is a 29-year membrane system with an estimated remaining useful life of 8 years. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

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Certification

I certify that, to the best of my knowledge and belief, the statements of fact contained in this report are true and correct and that I have no present or prospective interest in Ashford Data Center and no personal interest with respect to the parties involved.

The analyses, opinions and conclusions are limited only by the reported assumptions and limiting conditions. The inspection of the property was performed on April 9, 2024.

_____

Chloe Nguyen, CPG

Stone & Marsh Appraisal

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